This process of groping for the optimum does not come about for purchases that are made only rarely, such as a home loan. Therefore, these markets tend to work poorly.

Consider the process of an entrepreneur doing an initial public offering (IPO). The IPO is an important event in the life of the entrepreneur. She has not done it before, it is important to her, and she is keen to get it done successfully. There is no problem of rational inattention or underinvestment in information and information processing. However, there is no possibility of a learning process, as almost nobody does more than one IPO in a life. This hampers the working of the market.

The second chink in the armour lies in thinking across long time horizons. The field of behavioural economics has emphasized that humans seem to exhibit a very low regard for events deep in the future. There is a certain kind of *short-termism* that is wired into us; we tend to make decisions based on outcomes nearby in time.

These concerns about human decision making have become increasingly prominent; they have gone from novel criticism of the mainstream, with the 'bounded rationality' of Herbert Simon of the 1950s, to becoming the mainstream, with the 2002 Nobel Prize in Economics. [6]

These problems are particularly important in health and pensions. Humans have little understanding of the incremental contribution of a medical professional. We tend to be swayed by the bedside manner, and fail to understand malpractice. We fail to think correctly about how health-related decisions play out over many decades. Similarly, it is difficult for humans to make savings and investment decisions starting in the twenties that will yield income in old age, from the age of seventy to the age of 100. The optimal stance of policy is not obtained if we think of human beings as perfectly effective at understanding information and making sound decisions.